



ALLIANCE FOR COLLECTIVE EMPOWERMENT AND DEVELOPMENT

ADDENDUM TO TITLE IV

ACE INSURANCE AND RISK POOL FRAMEWORK

FUNDING AND ECONOMIC SOVEREIGNTY

*Supplement to Title IV, Funding and Economic Sovereignty
Prepared for incorporation into the ACE Community and Development Act at its next full revision*

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For Our People, By Our People

PREAMBLE

This Addendum supplements Title IV of the Alliance for Collective Empowerment and Development Act. It does not amend any Section of Title IV as printed. It establishes a financial infrastructure, the ACE Insurance and Risk Pool, that operates alongside the primary funding sources named in Section 402 and the Majority Lending Institution network previewed in Section 404, and it is intended for formal incorporation into Title IV at the next full revision of this Act.

PART I. PURPOSE AND RATIONALE

Every ACE resident, enterprise, and cooperative carries risk: property risk, life risk, vehicle risk, and enterprise risk tied to agricultural, energy, and manufacturing operations. In the absence of an ACE-owned mechanism, that risk is carried by outside insurers, and the premiums ACE residents pay leave ACE Territory permanently. This is capital extraction by another name. It repeats, in miniature, the pattern this Act exists to end: money generated inside the community flowing out and never returning.

An ACE-owned insurance mechanism keeps that premium income inside ACE's own economy. It does not merely insure ACE, it capitalizes ACE. Held in reserve against future claims, premium income becomes investable capital long before it is ever paid out, the same principle that has allowed conventional insurers to become among the largest institutional investors in the world. ACE cannot allow that mechanism to exist only outside its own community.

PART II. LEGAL FOUNDATION

The ACE Insurance and Risk Pool is modeled on the precedent established by AMERIND Risk, a tribally owned, federally chartered insurance pool operating on a sovereign to sovereign basis across more than 400 federally recognized tribes. AMERIND demonstrates that a tribally owned risk pool can operate lawfully outside state insurance regulation when it is formed by and for sovereign tribal entities, insuring tribal property and tribal members on tribal land.

This precedent defines both the opportunity and its limit. Sovereign immunity of this kind is territorial. It attaches to the land base and the governmental entity that holds it, not to individual members regardless of where they live. It shields the Pool from being compelled into state court or state regulatory jurisdiction without ACE's consent. It is not a blanket exemption from financial responsibility, and it carries no external regulator standing behind it the way state guaranty funds stand behind conventional insurers. What replaces external regulation is self-imposed discipline, addressed in Part V.

PART III. ONE POOL, ONE BOOK OF BUSINESS, DIVERGENT REGULATION

The Pool is not limited to members who live on ACE Territory. ACE membership itself, wherever a member lives, works, or holds property, is what the Pool exists to protect. An ACE member who has not yet relocated to ACE Territory, or who maintains property, family, or enterprise interests outside it even after relocating, carries exactly the same risk this Addendum opens by naming, and is left exactly as exposed to outside extraction if the Pool does not reach them. Structuring the Pool as though only sovereign-land risk qualifies would abandon the majority of ACE's own membership to the outside insurers this Addendum exists to move away from, at the exact moment in ACE's history, the early Movement and Territory phases, when membership off ACE Territory will be largest.

The Pool underwrites one book of business: every ACE member and ACE-affiliated enterprise, wherever located. Coverage lines, reserve standards, and the reserve itself are not divided by location. What divides by location is regulatory authority, and only once sovereignty exists somewhere for that authority to attach to.

Until ACE holds sovereign standing recognized for insurance purposes on any parcel of ACE Territory, the entire Pool operates as a state-licensed carrier or domiciled captive, as described in Part II's precedent but under conventional regulatory authority throughout. There is no sovereign track to diverge into yet, because sovereignty has not yet been extended anywhere for the Pool to operate under.

Once a Tribal Partnership Agreement extends sovereign insurance authority to the Pool over a given parcel, or ACE secures its own recognized sovereign status under Title XXI, regulation of the Pool's business on that parcel transfers to the sovereign authority established in Part II. Regulation of the Pool's business everywhere else, including on a Tribal Partner's land where sovereign authority has not been extended, and everywhere an ACE member lives or works off ACE Territory entirely, remains with the licensing state. This is not two insurance companies. It is one Pool, one reserve, and one float, answering to different regulators depending on where a given policy sits, exactly as a single company operating across state lines already answers to multiple state insurance departments without being multiple companies.

A member's coverage does not lapse or require replacement when sovereign status is extended over the parcel where they live, or when they relocate between a licensed-only parcel and a sovereign one. The regulatory authority over that policy changes. The policy, the insurer, and the reserve behind it do not.

PART IV. PHASED SCOPE

The Pool is built in step with the four phases of development established in Title V, not launched all at once.

Phase 1, The Movement: ACE Development LLC and legal counsel design the Pool's charter, reserve requirements, and actuarial framework, and secure the state licensing or captive domicile needed to begin underwriting under Part III. Because no ACE Territory yet exists at this phase, all underwriting in Phase 1 is licensed-carrier business, insuring ACE members wherever they currently live and work, the first premium stream into the Pool's reserve and float.

Phase 2, Territory: The Pool begins underwriting property and casualty coverage for ACE-owned infrastructure and pioneer housing built under the first Tribal Partnership Agreement, alongside continued licensed-carrier coverage for members not yet relocated. Coverage on newly established ACE Territory is limited to lines the Pool can responsibly reserve against at this scale, principally property, not yet life, auto, or enterprise coverage.

Phase 3, The City: As population scales toward the 300,000 pioneer target, the Pool expands into auto, expanded property and casualty, and cooperative enterprise coverage for ACE's agricultural, energy, and manufacturing operations, across both licensed and, where extended, sovereign authority. Reserve requirements scale with underwriting volume, reviewed at each expansion.

Phase 4, Civilization: Operating across a national network of ACE Communities, the Pool reaches the scale at which its reserve, actuarially sound and diversified across geography, regulatory authority, and risk type, becomes a material source of internally generated investment capital, addressed in Part VI.

PART V. RESERVE AND SOLVENCY STANDARDS

Because no external regulator stands behind the Pool on sovereign business, the Pool imposes on itself standards at least as strict as those a state regulator would impose on a conventional insurer, and does not relax them merely because no regulator is present to enforce them. On licensed-carrier business, the Pool meets or exceeds the licensing state's own requirements as a floor, not a ceiling.

The Pool maintains actuarially determined reserves for every line of coverage it underwrites, calculated by independent, credentialed actuarial review, not by internal projection alone. The Pool maintains a solvency margin above minimum reserve requirements, reviewed annually and adjusted upward as underwriting volume grows. The Pool publishes an annual solvency report to the ACE Governing Charter's financial oversight body once that body is seated under

Title XX, and to the Founding Board before it. No coverage line is offered until its reserve and solvency requirements are independently certified as adequate for the volume underwritten.

PART VI. CONNECTION TO TITLE IV: THE FLOAT'S INVESTMENT CAPACITY

This Part is the foundational economic purpose of the Pool, and the reason it belongs beside, not apart from, Title IV's other funding mechanisms.

An insurer collects premiums before it pays claims. The interval between collection and payout, industry-wide, is called the float. A conventional insurer invests its float in outside markets, and the returns on that float, not underwriting profit alone, are what has built some of the largest pools of investable capital in the world. ACE's float, held instead inside ACE's own economy, becomes a second, internally generated source of Title IV development capital, standing alongside major donor investment, Community Investment Bonds, and cooperative enterprise revenue, without asking any donor, bondholder, or member for a dollar more than they already pay for coverage they need regardless. Because the Pool underwrites one book of business across both regulatory tracks established in Part III, this float begins compounding in Phase 1, from the Pool's first licensed-carrier premiums, long before any sovereign land base exists to generate it.

The float's investment capacity is governed by three principles.

First, the float is invested inside ACE before it is invested outside it. Reserve funds not immediately required to meet claims are directed first toward ACE Majority Lending Institution capital, ACE Community Investment Bond purchases, and ACE cooperative enterprise financing, before any allocation to outside markets. This keeps every dollar of float compounding inside the same economy that generated it, reinforcing the MLI network under Section 404 and the Bond program under Section 402 rather than competing with them for capital.

Second, the float is invested only to the degree that solvency is never put at risk. The reserve and solvency standards of Part V take precedence over the float's investment use in every circumstance. A claims-paying obligation is never subordinated to an investment return. The portion of the float available for investment is the portion in excess of certified reserve and solvency requirements, recalculated at each actuarial review, never a fixed or assumed percentage.

Third, the float's investment capacity grows with the Pool's underwriting base, and is planned accordingly. As the Pool expands from Phase 1's licensed-carrier foundation through Phase 4's full national scope across both regulatory tracks, its float grows from a modest reserve into a material capital source in its own right. By Phase 4, at the underwriting scale implied by ten

ACE INSURANCE AND RISK POOL FRAMEWORK

or more ACE Communities and their associated property, casualty, auto, and enterprise coverage, together with continued licensed-carrier coverage for members living and working beyond ACE Territory, the float becomes a standing, recurring source of development capital that requires no new fundraising, no new donor cultivation, and no new debt, capital generated by the simple fact of ACE members and enterprises insuring themselves through their own institution instead of someone else's.

This is the deeper argument for the Pool. It is not only a way to stop premium income from leaving ACE Territory. It is a mechanism by which the ordinary act of a pioneer family, or a member who has not yet relocated, insuring what they own becomes, at scale, a source of the very capital that builds the next home, the next school, and the next ACE Community.